T-12 OPERATING STATEMENT

Garnet Raven Lofts | Philadelphia, PA

Property	Garnet Raven Lofts
Period Ending	November 24, 2022
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	103 apartment homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	247,226	256,812	271,086	272,143	245,768	249,803	254,331	274,251	273,999	265,254	242,426	249,471	3,102,569
4010 Loss to Lease	77,341	86,231	84,777	81,300	82,055	78,368	80,961	84,031	82,367	81,640	81,946	84,732	985,748
4020 Vacancy Loss	30,613	28,956	29,448	32,303	31,877	28,969	30,141	32,622	32,365	32,069	31,408	29,089	369,861
4030 Concessions	230,346	230,124	230,621	222,935	221,857	208,530	217,344	229,512	227,039	206,740	207,116	206,842	2,639,007
4040 Bad Debt	188,630	178,488	183,034	196,193	191,771	190,248	192,847	176,135	176,189	190,748	191,928	191,670	2,247,880
4050 Late Fees	9,027	9,171	9,892	9,708	8,801	8,825	8,770	8,680	9,241	9,009	8,706	8,980	108,812
4060 Utility Reimbursements	147,918	162,630	150,277	156,188	148,104	146,139	150,189	147,032	144,345	159,177	157,455	163,674	1,833,128
4070 Parking Income	220,330	231,209	218,258	234,831	236,214	242,320	215,993	214,169	242,364	219,499	232,378	222,466	2,730,030
4080 Application Fees	212,221	229,178	209,449	211,679	238,577	217,486	224,401	213,688	220,924	218,351	235,412	214,645	2,646,012
4090 Pet Rent	29,850	30,885	28,762	32,470	29,007	30,469	32,489	29,252	30,118	31,815	32,377	29,456	366,950
4100 Laundry Income	171,616	167,709	155,916	158,595	172,479	160,320	157,933	165,056	158,667	156,524	155,575	174,188	1,954,578
4110 Cable/Internet Revenue	77,848	83,048	80,601	77,026	85,569	83,522	83,321	79,418	77,904	79,379	76,908	77,783	962,326
4120 CAM Reimbursements	116,630	120,309	121,445	118,777	116,028	130,049	120,043	119,023	126,435	129,970	120,236	127,334	1,466,279
4130 Tax Reimbursements	141,053	149,300	133,402	141,886	137,648	132,920	145,505	137,291	149,114	147,931	149,343	138,816	1,704,207
4140 Insurance Reimbursemen	11,490	10,807	11,174	10,491	11,160	11,739	11,323	11,177	10,631	11,490	10,788	11,762	134,032
4150 Percentage Rent	3,936	3,696	3,675	3,931	4,018	3,712	3,860	3,891	3,929	4,128	4,152	4,024	46,951
4160 Misc. Income	110,998	119,332	119,267	108,316	119,150	108,200	111,541	121,364	108,404	120,359	112,887	117,977	1,377,795
4170 Payroll - Management	5,981	5,842	6,142	5,996	6,079	6,330	6,352	6,554	6,203	5,980	6,313	5,795	73,567
4180 Payroll - Leasing	3,062	3,139	2,891	2,888	3,020	2,929	3,101	2,868	2,777	2,844	2,763	2,781	35,063
4190 Payroll - Maintenance	13,534	14,276	13,823	14,380	12,966	12,987	14,463	14,458	14,171	13,437	14,655	14,535	167,685
4200 Payroll Taxes & Benefits	10,930	10,760	11,100	10,723	10,942	11,204	10,482	10,249	10,615	9,918	10,164	10,736	127,821
4210 Repairs - Plumbing	22,494	20,046	20,451	20,378	22,349	19,946	21,667	22,473	21,589	21,793	20,945	21,799	255,930
4220 Repairs - HVAC	4,548	4,281	4,365	4,450	4,475	4,031	4,418	4,413	4,137	4,300	4,549	4,222	52,189
4230 Repairs - Electrical	24,730	26,209	23,748	26,012	23,285	23,526	22,965	23,443	23,566	26,044	25,832	26,072	295,432
4240 Repairs - Appliances	8,222	7,779	8,426	8,643	8,409	8,348	8,210	8,509	7,936	8,021	7,859	8,175	98,536
4250 Painting & Decorating	15,192	14,866	13,675	15,011	13,654	13,893	15,074	14,004	15,573	14,547	14,988	13,893	174,371
4260 Flooring	4,553	4,705	4,319	4,669	4,449	4,195	4,137	4,534	4,365	4,501	4,144	4,655	53,225

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	2,587	2,692	2,579	2,512	2,812	2,716	2,742	2,815	2,489	2,525	2,823	2,752	32,044
4460 Management Fee	23,672	23,441	21,190	22,604	23,257	22,117	22,476	22,011	21,287	21,139	21,009	23,538	267,741
4470 Property Insurance	20,563	20,959	21,469	20,694	20,981	20,417	20,842	20,159	21,785	22,148	21,266	20,993	252,278
4480 Real Estate Taxes	10,013	10,909	10,860	10,673	10,747	9,961	10,910	10,569	10,008	10,724	10,173	10,702	126,249
4490 Asset Management Fee	15,178	14,145	14,980	14,339	13,844	14,916	14,703	15,165	14,200	13,363	13,644	13,368	171,845
4500 Replacement Reserves	29,949	32,798	31,115	31,222	30,491	31,418	29,872	32,537	29,152	31,367	32,016	30,252	372,189
4510 Roof Repairs	18,286	18,703	18,373	18,516	19,523	19,616	19,439	19,704	17,596	19,396	18,401	18,381	225,935
4520 Parking Lot Repairs	24,952	26,366	27,353	25,663	25,537	25,820	25,455	25,074	27,520	27,676	25,915	26,241	313,572
4530 Signage	21,617	22,538	23,017	22,662	22,209	21,953	21,748	20,703	22,809	23,133	20,746	22,746	265,880
4540 Tenant Improvements	13,050	11,875	12,484	12,194	12,253	11,678	11,993	13,428	12,388	12,757	12,386	13,388	149,873
4550 Leasing Commissions	3,546	3,525	3,814	3,471	3,410	3,605	3,516	3,674	3,842	3,906	3,801	3,422	43,532
4000 Gross Potential Rent	266,854	263,303	243,770	250,405	261,470	264,678	265,731	275,877	260,741	256,272	257,877	273,764	3,140,742
4010 Loss to Lease	107,848	121,760	108,773	114,798	119,212	120,415	113,286	117,012	121,593	111,627	117,033	109,372	1,382,729
4020 Vacancy Loss	171,626	169,965	169,004	171,213	163,884	172,515	169,384	161,158	155,534	164,940	163,016	152,447	1,984,685
4030 Concessions	158,668	165,232	163,323	144,940	154,571	152,950	150,296	150,811	151,032	148,970	163,486	155,240	1,859,520
4040 Bad Debt	134,556	149,270	146,650	143,080	145,649	135,182	143,148	149,382	136,647	142,023	141,001	134,375	1,700,964
4050 Late Fees	173,247	156,699	172,961	166,408	163,655	170,849	174,958	159,221	173,616	163,863	172,408	155,888	2,003,773
4060 Utility Reimbursements	127,297	119,749	120,269	125,512	121,195	129,324	124,559	127,106	124,252	114,775	126,903	120,876	1,481,816
4070 Parking Income	74,960	74,568	76,181	78,613	70,913	76,658	73,295	71,477	76,234	76,223	78,804	72,299	900,226
4080 Application Fees	101,005	113,003	104,235	108,353	106,493	111,432	111,883	98,894	107,904	100,899	102,263	107,545	1,273,909
4090 Pet Rent	154,283	146,237	140,260	138,843	145,040	146,616	146,168	156,158	147,882	153,434	144,425	146,589	1,765,935
4100 Laundry Income	39,036	37,797	39,713	37,331	36,074	36,957	40,133	36,659	39,114	35,277	39,824	39,450	457,364
4110 Cable/Internet Revenue	169,742	171,196	158,841	177,789	163,857	181,619	159,081	163,825	181,433	160,767	176,270	180,756	2,045,177
4120 CAM Reimbursements	116,999	112,959	106,830	118,251	120,544	107,809	113,279	109,186	112,988	107,608	111,268	121,585	1,359,308
4130 Tax Reimbursements	221,338	220,174	207,084	221,318	209,404	204,343	220,065	224,341	228,767	226,124	211,344	206,042	2,600,344
4140 Insurance Reimbursemen	62,842	70,040	64,170	68,960	66,809	68,696	67,158	66,564	66,792	62,364	65,493	69,310	799,197
4150 Percentage Rent	120,150	111,284	112,902	121,308	109,428	111,176	109,671	118,005	106,017	119,179	109,984	116,578	1,365,683
4160 Misc. Income	211,414	225,789	221,757	220,384	228,698	223,471	216,022	215,129	214,198	211,364	209,193	208,901	2,606,322
4170 Payroll - Management	27,747	28,905	29,643	29,700	27,618	28,135	28,069	29,022	28,401	29,339	30,353	27,461	344,393
4180 Payroll - Leasing	31,757	30,605	29,571	29,530	31,876	31,323	30,085	30,867	30,170	29,048	29,242	32,054	366,128
4190 Payroll - Maintenance	8,084	8,210	9,044	9,047	8,575	8,852	8,473	8,318	8,765	8,792	8,118	8,918	103,195
4200 Payroll Taxes & Benefits	16,617	16,245	16,039	15,931	17,553	17,836	17,379	17,477	17,392	17,163	18,247	18,249	206,128
4210 Repairs - Plumbing	24,508	27,153	24,528	26,676	27,084	25,238	25,937	26,758	27,035	25,219	25,910	27,693	313,739
4220 Repairs - HVAC	24,738	23,625	22,650	25,607	23,043	24,516	25,214	24,705	25,103	25,175	25,206	24,621	294,204
4230 Repairs - Electrical	9,594	9,287	9,409	9,480	9,333	9,507	9,229	9,699	9,422	9,441	9,499	10,330	114,229
4240 Repairs - Appliances	18,764	17,225	17,870	16,807	17,642	16,800	18,322	18,543	17,846	17,136	18,618	18,486	214,061
4250 Painting & Decorating	17,347	17,485	16,927	16,311	17,831	17,572	16,406	18,445	16,996	18,390	16,467	17,009	207,185
4260 Flooring	4,031	3,942	4,210	3,843	3,989	3,775	3,949	3,845	4,216	3,947	4,074	4,010	47,830
4270 Make-Ready / Turnover	23,669	23,939	22,310	23,841	21,384	22,727	22,752	24,430	22,451	23,052	24,468	23,060	278,080
4280 Landscaping Contract	7,148	6,984	7,364	6,919	6,810	6,920	6,901	7,217	6,634	6,793	6,613	7,454	83,758
4290 Snow Removal	23,310	23,622	23,092	22,423	23,294	21,260	23,379	23,343	23,538	23,384	23,307	21,256	275,209
4300 Janitorial	28,939	28,896	29,992	31,467	29,592	31,649	30,931	28,406	31,083	28,332	28,748	29,170	357,206
4310 Pest Control	14,432	15,466	15,681	14,096	15,135	14,356	13,940	13,815	15,798	15,807	14,749	13,830	177,105
4320 Trash Removal	22,717	21,304	23,267	23,614	22,770	22,048	21,686	23,425	21,709	23,895	21,968	23,939	272,343
4330 Elevator Contract	20,293	20,311	20,584	21,414	19,777	20,909	19,630	21,814	19,383	20,089	20,764	20,233	245,202

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,694 per month against an average unit size of 759 square feet. The going-in capitalization rate of 6.37% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $80,000 or approximately 23.16 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $388,000, representing a 9.4% increase over the prior year. Operating expenses totaled $80,000 or approximately 42.42 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.0% of billed charges, with bad debt of 5.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Service requests are tracked through a work-order system with an average completion time of 42 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.6% of billed charges, with bad debt of 3.9% of gross potential income. Average in-place rent is $1,694 per month against an average unit size of 759 square feet.

Income and Expense Review

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $240,000 or approximately 15.39 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.06% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,694 per month against an average unit size of 759 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,694 per month against an average unit size of 759 square feet. Operating expenses totaled $86,000 or approximately 14.48 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Average in-place rent is $1,694 per month against an average unit size of 759 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.1% of billed charges, with bad debt of 7.0% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 26 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Resident turnover has averaged 4.8% annually with renewal retention above 89.9%.

Valuation Discussion

Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.45% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $227,000, representing a 2.1% increase over the prior year. Operating expenses totaled $340,000 or approximately 41.40 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

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Summary and Notes

Operating Performance

The going-in capitalization rate of 7.50% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,694 per month against an average unit size of 759 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.91x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $321,000, representing a 13.6% increase over the prior year. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The going-in capitalization rate of 6.65% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Average in-place rent is $1,694 per month against an average unit size of 759 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 6.7% annually with renewal retention above 88.8%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 38 hours.

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